

beginning in the second century B.C. with the Roman financial system, which had many of the characteristics of the modern financial system, including stock and bond markets in the Forum, near the Temple of Castor. There “crowds of men bought and sold shares and bonds of tax-farming companies, various goods for cash and on credit, farms and estates in Italy and in the provinces, houses and shops in Rome and elsewhere, ships and storehouses, slaves and cattle.”³⁴ Described as being comparable to the speculative fever that swept over Britain in the 1720s South Sea bubble, there was said to be “scarcely a soul one might say, who does not have some interest in these [tax-farming] contracts and profits which are derived from them.”³⁵ Petronius Arbiter, a Roman courtier during the reign of Nero believed to be the author of the satirical novel the *Satyricon*, wrote later that, “filthy usury and the handling of money had caught the common people in a double whirlpool, and destroyed them.”³⁶ The conglomerate fad was just one more speculative mania in a long line of speculative manias. It wouldn’t be the last.

GLITZ AND GLAMOUR’D

The most vexing question from the conglomerate era is why the professional investment community—institutional investors, mutual funds, and research analysts—were so mesmerized by Thornton and the other conglomerateurs. Litton might have been a mirage, but it wasn’t a fraud. It hid nothing in its heavily footnoted annual reports, or in its 10-Ks submitted to the SEC.³⁷ Reading those documents would have revealed that it was a collection of fair-to-middling businesses helmed by a charismatic salesman adroit at applying organizational gloss.³⁸ From its inception, the stock had performed very well as earnings exploded, and the multiple expanded. Already heady at 33 times earnings in 1965, it had swollen to 40 times earnings by the January 1968 announcement of its first drop in earnings. Note that Litton didn’t announce a *loss* in 1968—just a *decline* in earnings of about 19 percent—and neither was it involved in a corporate scandal, yet the stock was crushed, plummeting from \$90 to \$53. It was unnecessary to be a securities analyst to see that at such a high price any small glitch in the story would lead to carnage in the stock, so how did so many professionals miss it?

We imagine that professional investors understand the drivers of investment success, carefully review documents filed with the SEC, calculate the odds that a given business will survive and prosper, weigh intrinsic value, and then cleverly bet to maximize the gain. If this is in fact the case, it is not reflected in the data. The most famous demonstration of the paucity of professional investors to differentiate between good stocks and bad and